

WIN
AT TAXES

A visual beginner guide to understanding tax forms

SEE THE FORM > FIND THE BOX > TRY IT

Real-looking examples, simple explanations and practice you can check yourself.

INSIDE

- W-2 + paycheck deductions
- Filing status + dependents
- 1099 + business records
- Spot mistakes + review a return

A STANDALONE WIN EBOOK • BEGINNER EDITION

How to use this book

No tax experience needed. One small step at a time.

1. **LOOK at the picture or example.**
2. **READ what the number means.**
3. **TRY one question without guessing.**
4. **CHECK your answer in the back.**

IMPORTANT

These are made-up people and practice forms, not real tax documents. This book teaches how to read common forms; it is not a substitute for current-year IRS rules or professional advice.

WHAT YOU WILL LEARN

- ✓ Read the main boxes on a W-2
- ✓ Tell payroll taxes apart from federal income tax
- ✓ Ask basic filing-status and dependent questions
- ✓ Recognize 1099 income and track business expenses
- ✓ Check for missing or incorrect information

THE WIN RULE

LOOK → READ → CHECK. If information is missing, ask. Never make up a number.

1 Meet Alex and his W-2

Every number has its own box. Match the label before entering it.

PRACTICE W-2 • NOT FOR FILING

Employee: Alex Rivera

Employer: Cedar Street Market

1 Wages $42,000	2 Federal income tax withheld $3,200
3 Social Security wages $42,000	4 Social Security tax withheld $2,604
5 Medicare wages $42,000	6 Medicare tax withheld $609
12 Codes No entries	14 Other No entries

15 State NC	16 State wages $42,000	17 State tax withheld $1,450

FOLLOW THE THREE GOLD BOXES

Box 2 = federal income tax. Box 4 = Social Security tax. Box 6 = Medicare tax.
These are different taxes; do not combine them.

> WIN TIP: The box number and its label must match the number you enter.

2 What do the W-2 boxes mean?

Use Alex's practice W-2 on the previous page.

1

Wages $42,000

Money Alex earned that counts as federal taxable wages.

2

Federal income tax $3,200

Money his employer already sent toward federal income tax.

3

Social Security wages $42,000

Pay used to figure Social Security tax.

4

Social Security tax $2,604

Social Security tax already taken from his pay.

5

Medicare wages $42,000

Pay used to figure Medicare tax.

6

Medicare tax $609

Medicare tax already taken from his pay.

REMEMBER

Box 12 and Box 14 can show other items. Read the code or label before entering them. Box 17 is state income tax withheld.

3 Why is take-home pay smaller?

See how money can leave a paycheck before you receive it.

ALEX'S SAMPLE MONTHLY PAYCHECK

Gross pay (before deductions)	**$3,500.00**
Federal income tax	**- $266.67**
Social Security tax	**- $217.00**
Medicare tax	**- $50.75**
Other deductions in this example	**$0.00**

EXAMPLE TAKE-HOME PAY **$2,965.58**

THE DIFFERENCE

Gross pay is what you earned before deductions. Take-home pay is what reaches you after taxes and other deductions. This example uses only the listed deductions.

YOUR TURN

Which amount would Alex actually receive from this example paycheck?

A. $3,500 **B. $2,965.58** **C. $266.67**

These monthly figures are examples; annual W-2 totals may differ.

4 Let’s do the Medicare math

You can check a simple number without guessing.

ALEX’S W-2

BOX 5 Medicare wages	BOX 6 Medicare tax
$42,000	$609

Standard employee Medicare rate

1.45% = 0.0145

$42,000 × 0.0145 = $609

WHAT ABOUT SOCIAL SECURITY?

The usual employee rate is 6.2%. For this example, $42,000 × 0.062 = $2,604.
Special situations and additional taxes can change actual results.

YOUR TURN

Which box shows the amount of Medicare tax withheld?

A. Box 2 **B. Box 5** **C. Box 6**

WIN TIP: Read the box label before you type a number.

5 Filing status: start with the facts

A filing status is not based on which refund looks bigger.

1

SINGLE

Generally unmarried and not eligible for another status.

2

MARRIED FILING JOINTLY

Eligible spouses combine their information on one return.

3

MARRIED FILING SEPARATELY

Eligible spouses file separate returns.

4

HEAD OF HOUSEHOLD

Specific marital, household-cost and qualifying-person rules apply.

5

QUALIFYING SURVIVING SPOUSE

Special rules may apply after a spouse dies and a qualifying child is present.

STOP AND ASK

Was the person married on the last day of the tax year? Who lived in the home? Who paid the costs? Check current-year rules.

6 Two homes. Two different questions.

These examples show why we ask before choosing a status.

MEET MAYA

Maya is unmarried. She lives alone. Her child lived with the other parent all year. Maya sends money to help with expenses.

QUESTION:

Can Maya file Head of Household just because she has a child?

NO. The facts given do not establish eligibility.

MEET JORDAN

Jordan is unmarried. Jordan's 8-year-old child lived in the home all year. Jordan paid more than half the cost of keeping up the home.

QUESTION:

What should we check next? Relationship, residency, household costs and all current-year eligibility rules.

WIN RULE

Having a child alone does not automatically make someone Head of Household.

7 Who can be a dependent?

Use an interview checklist. Do not decide from one fact.

1

RELATIONSHIP

How is this person related to the taxpayer?

2

AGE

How old were they at the end of the tax year?

3

WHERE THEY LIVED

How many nights did they live with the taxpayer?

4

SUPPORT

Who paid their living costs?

5

STUDENT STATUS

Were they a full-time student, if relevant?

6

OTHER CLAIMS

Could another taxpayer also claim them?

IMPORTANT

Dependent eligibility, Head of Household and tax-credit eligibility may have different rules. Check each separately for the correct tax year.

8 A 1099 is a clue—not the whole story

Here is a new practice client, separate from the classroom.

PRACTICE FORM 1099-NEC • NOT FOR FILING

Recipient: Taylor Brooks

Payer: Harbor Event Studio

BOX 1 Nonemployee compensation

$9,800

Taylor also received cash payments from other clients:

$1,200

TOTAL BUSINESS RECEIPTS: $9,800 + $1,200 = $11,000

WHAT THIS MEANS

A 1099-NEC may show payments from one payer. Other business income may still need to be reported even if no form was issued.

YOUR TURN

If Taylor received another $300 in business cash payments, what would the new total be?

A. $9,800 **B. $11,000** **C. $11,300**

A 1099 is not permission to leave out other business income.

9 Business expense or personal expense?

A payment is not automatically a business deduction.

TAYLOR'S SAMPLE RECORDS

Advertising flyers	**$250**	**BUSINESS**
Event supplies	**$600**	**BUSINESS**
Card processing fees	**$100**	**BUSINESS**
Family groceries	**$180**	**PERSONAL**
Phone bill	**$90**	**ASK MORE**

SUPPORTED BUSINESS EXPENSES

$250 + $600 + $100 = $950

Do not add groceries or guess a phone business-use percentage.

SIMPLE PRACTICE MATH

$11,000 receipts – $950 listed expenses = $10,050

This is a simplified example before other taxes, adjustments or expenses.

YOUR TURN

Can Taylor deduct all $90 of the phone bill without asking how it was used?

A. Yes **B. No, ask for business-use details**

10 Before you send a return, check it

A five-point review catches many avoidable mistakes.

1

NAME

Does the spelling match the source documents?

2

NUMBERS

Do W-2 and 1099 entries match the documents?

3

HOUSEHOLD

Are filing status and dependent facts documented?

4

MISSING FORMS

Are there other jobs, income sources or states?

5

SIGNATURES

Has the taxpayer reviewed and signed as required?

IF A RETURN IS REJECTED

Read the rejection message. Identify the issue. Verify the source. Correct only what is supported. Document the change and retransmit if appropriate.

11 Spot the mistake

Practice comparing the source to the typed entry.

ALEX'S W-2 (SOURCE)

BOX 2 Federal income tax withheld

$3,200

WHAT SOMEONE TYPED

DRAFT BOX 2

$2,300

YOUR TURN

1. What number should be entered in Box 2?

2. Which source document proves the correct number?

3. Should you change Box 4 or Box 6 to make the totals match?

THE ANSWER IS NOT A GUESS

Compare the draft entry to the W-2. Correct Box 2 to $3,200. Do not change unrelated boxes.

WIN HABIT: LOOK → ENTER → COMPARE

12 Your one-page tax document checklist

Gather first. Enter second. Check third.

- [ ] **IDENTITY**
  Names, identifying numbers and current address

- [ ] **HOUSEHOLD**
  Marital status, dependents and where people lived

- [ ] **WAGES**
  Every W-2 from every job

- [ ] **OTHER INCOME**
  1099s, cash receipts and other income records

- [ ] **POSSIBLE CREDITS**
  School, childcare and other relevant documents

- [ ] **BUSINESS RECORDS**
  Income, receipts and supported expenses if self-employed

- [ ] **STATE INFORMATION**
  States worked or lived in and withholding

- [ ] **FINAL REVIEW**
  Check entries, ask about gaps and sign properly

Answer key

Check your work, then revisit any example you missed.

PAGE 5

5

B. $2,965.58 is Alex’s sample take-home pay.

PAGE 6

6

C. Box 6 shows Medicare tax withheld.

PAGE 10

10

C. $11,300 = $9,800 + $1,200 + $300.

PAGE 11

11

B. Ask how much of the phone bill was for business.

PAGE 13

13

Enter $3,200 from the source W-2 in Box 2; do not alter Boxes 4 or 6.

GOT ONE WRONG?

That is what practice is for. Go back to the example, find the labeled box or fact and try again.

You have a starting point

Keep learning. Keep building. Keep winning.

WHAT YOU CAN DO NOW

- ✓ Find wages and withholding on a W-2.
- ✓ Tell federal income tax from Social Security and Medicare.
- ✓ Ask better filing-status and dependent questions.
- ✓ Recognize that business income may exceed a 1099.
- ✓ Check a draft against the original documents.

READY FOR HANDS-ON TRAINING?

Want to practice preparing complete returns? WIN Tax Academy is an optional next step with guided lessons, practice documents and review activities. This eBook stands on its own.

OPTIONAL NEXT STEP: WIN TAX ACADEMY

OFFICIAL LEARNING RESOURCES

IRS: www.irs.gov/instructions/iw2w3

IRS: www.irs.gov/publications/p501

IRS: www.irs.gov/instructions/i1040sc

Educational information only. Tax rules and forms can change. Confirm the tax year and current IRS/state instructions before preparing an actual return.